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13.07 Warehousing in India

India is an agrarian country but the importance of warehousing was not felt till 1950. Agriculture contributes 16 percent of the overall GDP and accounts for employment of approximately 52 percent of the Indian population. It is estimated that more than 40 percent of our agricultural productions wasted due to poor storage facilities.

On the recommendation of the All India Rural Credit Survey Committee, the Agricultural Produce(Development and warehousing) Corporation Act enacted in 1956, authorized the Government to setup National Co-operative Development and Warehousing Board to develop agricultural Co-operatives and warehousing.





Main Warehousing Agencies in the Public Sector

The three main agencies in the public sector engaged in providing large scale warehousing facilities are:

A. Food Corporation of India (FCI)

It provides storage facilities for food grains. Food Corporation of India also hires storage capacity from other sources such as Central Warehousing Corporation, State Warehousing Corporation and private parties. The available storage capacity of Food Corporation of India is 74.6 million tonnes. (August 28, 2013 Government told in Lok Sabha). The FCI was set-up under the Food Corporation Act 1964, in order to fulfil following objectives of the food policy:

i. Distribution of food grains throughout the country for public distribution system.
ii. Effective price support operations for safeguarding the interests of farmers.
iii. Maintaining satisfactory level of operational and buffer stocks of food grains to ensure National food security.

B. Central Warehousing Corporation (CWC)

It was established in 1957. The available storage capacity of Central Warehousing Corporation is 11.17 million tonnes and with the operation through 464 warehousing centers across the country. (as on 30th September, 2017).

Functions of Central Warehousing Corporation:

1. To provide agency services for scientific storage of agricultural produce, seeds,